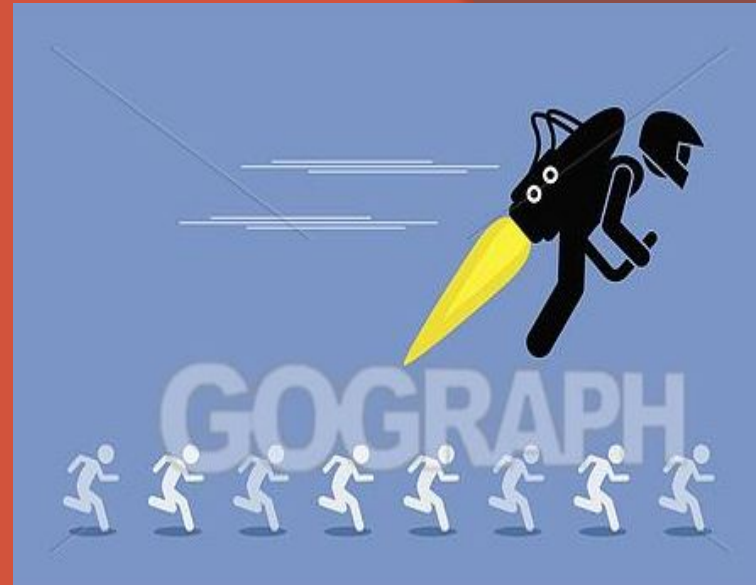


Lesson 2

- ***Competitive Priorities***
- ***Understanding the process architecture and execution***

Competitive priorities are the essential operational aspects that a process or supply chain must have in order to satisfy internal or external consumers. Competitive priorities are crucial to organizations because they help them define attainable goals, and they have been for a long time.



Types of Competitive Priorities

1. Expertise in Product or Service

Organizations can become market leaders in products/services by acquiring expertise in certain characteristics such as process capabilities and functionalities by leveraging operational strengths.



2. **Fast Delivery Speed/ Time**

Customer satisfaction can be achieved by incorporating flexible capacity into the manufacturing process, as well as ensuring timely delivery. Delivery time, or speed, is viewed as a key competitive advantage. Organizations currently compete with one another to provide higher-quality products/services in as little time as feasible.



As a result, we can conclude that the main focus of this competitive priority is speed, i.e. quick and prompt delivery. Fast delivery refers to receiving orders in a timely manner. The number of times deliveries are made at a specific time is referred to as on-time or timely delivery. Another weapon is development speed, which refers to the amount of time it takes to bring a thinking process or an idea to market.

For example, companies such as Amazon and Flipkart, Dominos and Pizza Hut, etc. compete on a delivery time basis because customers prefer fast delivery nowadays and organizations that are able to fulfill their requirements of fast delivery/ service are emerging as industry leaders.



3. Flexibility in Production

- **An organization must build a capability in order to deal with change.**
- **The process of adapting to change begins with environmental scanning, which is used to track environmental trends in order to ensure that they are compatible with societal needs.**
- **If competitors gain a competitive edge by expanding their product lines, improving quality, or lowering product costs, similar items from competing firms may be threatened.**
- **Furthermore, new businesses entering the market with substitute items may create rivalry and hurdles.**
- **To avoid such scenarios, a company must embed the appropriate flexibility into its manufacturing process, as well as make the necessary changes to its operations plan.**

Flexibility is of two types:

- **Volume Flexibility**

The ability to accelerate or decelerate production rates in response to demand fluctuations is referred to as volume flexibility.



- **Customization**

This ability of an organization is linked to its ability to meet the unique needs of each consumer. In this case, businesses provide products/services to clients by offering them greater flexibility in selecting and customizing products/services to meet their specific needs.

For example:

- Dell, which is a computer technology-based company has created a competitive advantage over its competitors by providing its customers the ability to the customization of the products (such as server hardware), and also, a variety of options are available that customers can choose from.
- Customization- Users are asked to identify their preferences and they are then shown things that they prefer. For example, when customers sign up for Netflix, the service asks users to select a few shows they like and then displays a list of options based on those choices.



4. Less Cost-based Production and Processes

In order to keep up with the competition, each product's per-unit cost must be reduced. Organizations must also have access to cost analysis for various production costs such as labor, overhead, and material costs. A company with a good production system and operations strategy will have the ability to save costs. As a result, all waste is eliminated as well.



5. Quality

One of the important responsibilities of the operations strategy is to ensure that the intended level of quality is maintained and that customer expectations are met. Performance quality, product reliability, low defect rate, product durability, and other criteria are all taken into account when determining quality.

For example, the aim of fast-food company McDonald's is related to maximizing the quality of its products within the available resources or constraints like price and cost constraints. To maintain the consistency level of quality of its products, a production line method is used in McDonald's. Through this consistency level of quality, the expectations of customers are satisfied.



6. Product Variety and Product Mix

A company's product mix, often known as its product portfolio, refers to the entire range of items and services it provides to its clients. It includes product lines or related things that customers are expected to utilize or search for while looking for a similar set of products or services.



For example, let's consider a product mix of well-known Coca-Cola Company. Suppose, there are two product lines that the company currently operates i.e. Juice and Soft drinks. Different products that fall under the product line of soft drinks are Fanta, Coke, Diet Coke, Sprite, and Coke Zero. On the other side, the Juice product line includes categories such as Orange, Mixed Fruit, Guava, Mango, etc.

In the above case, Coca-Cola's consistency would be at the upper-end as the whole range of products that are in a product line, comes under a single category i.e. beverage. Also, for each product, channels related to production and distribution would be similar.



BPM architecture: The basis of all company processes

BPM architecture is designed to ensure that a company's business procedures are automated. BPM architecture can be thought of as a broad definition of a full system of processes.

When developing BPM architecture, a company must connect the team to the available workforce, as well as the dominating resources and technology, in order to identify how to fulfill strategic objectives as effectively as possible while adding value at each level of the chain.

The goal of effective BPM architecture is to improve processes and, as a result, optimize outcomes. Furthermore, the BPM architecture incorporated in the BPM tool utilized must allow for complete system modification in order to fit the unique requirements of each organization.

Classifications of Business Process Architecture Design Approaches

- **Goal-Based Approach**

In goal-based approaches, the first step is to create a goal structure, which comprises of business goals and the relationships between them. Then, based on the definition of a business process as a collection of related actions to achieve a specific purpose, business process architecture is derived from it. The advantage of a goal-based approach is that linking goals with processes aids in determining why particular procedures are necessary or required at all.

- **Action-Based Approach**

It is created first in action-based techniques. An activity loop in which a provider completes work for an internal or external customer is known as a business action. As a result, it is quite similar to a business process by definition. The most significant distinction between a business process and a business action is that business action theory argues that all human action, and hence every business action, follows certain conventional patterns and stages. As a result, business action theory is particularly well suited to recognizing processes, defining them, and separating them into sub-processes and/or variants.

- **Object-Based Approach**

The 'business object' is the central organizational idea in object-based techniques. Three sorts of business objects are considered in both of the described approaches: 'permanent items,' 'case objects' and 'other objects.'

Permanent objects, such as the 'client' in most businesses, are business items with a reasonably long life cycle in the organization. Permanent objects can be used to identify processes by determining what can happen to them and defining procedures to support these activities. For example, a new client can arrive or buy something, thus leading to the need for a process to register new clients and a sales process. **Case objects** are objects that guide the execution of a business process and thus directly identify a business process. An example of a case object is an 'order' or an 'application'.

- **Function-Based Approach**

A function hierarchy, which symbolizes the division of business functions into more detailed. With this approach, the key organizing idea is the "business function," which is described as a competence of an organization, such as "production" or "procurement."

This considered relation is always a decomposition relation. The function hierarchy can then be used to develop a business process architecture. The advantage of utilizing business functions to identify processes is that, in comparison to business processes, business functions are easier to identify and maintain since they focus on what an organization does rather than how it does it.

That's all Folks!

